ECONOMY

LECTURES

INDIAN ECONOMY 1947 TO 1990... PART 2

MODULE - 9

ECONOMY

INDUSTRY AT THE TIME OF INDEPENDENCE

COTTON TEXTILE INDUSTRY

1. At the time of independence our industrial base was very weak.
2. It was confined mostly to cotton textiles and jute.
3. There were only two well managed iron and steel firms.
4. Around 70 to 80% of the population were dependent on agriculture.

So, there was a need for establishment of wide variety of industries so that the country can become self sufficient.

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IMPORTANCE OF INDUSTRY IN ANY COUNTRY'S ECONOMY

1. Industrial development is required to ensure structural transformation of economy.
2. It will act as important source of employment and the surplus labour in agriculture sector will be absorbed by the industrial sector.
3. For mechanization of farming activity, industrialisation plays a crucial role.
4. Industry basically imparts dynamism to the growth process.
5. Industrialization makes human wants endless and promotes consumerism.
6. With industrialisation, need for economic infrastructure and communications along with the need for social infrastructure like schools, colleges arise and leads to the overall development process.

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DESIRED

INDIAN TRANSFORMATION

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ECONOMIC INFRASTRUCTURE





ECONOMY

SOCIAL INFRASTRUCTURE

स्वच्छ भारत

एक कदम स्वच्छता की ओर

ECONOMY

PUBLIC SECTOR

एनटीपीसी NTPC

BSNL Connecting India

बी एच ई एल BHEL

इंडियनऑयल IndianOil

PRIVATE SECTOR

airtel

vodafone

Reliance Industries Limited

ECONOMY

1950-1990
WHY PUBLIC SECTOR WAS GIVEN PROMINENCE?

1

The requirement of capital for diversified industrial growth was much higher in comparison to its availability with private entrepreneurs. Hence, the government felt that industrial growth can be fostered with public sector undertakings only.

2

Due to the limited size of the market at the time of independence, there was no inducement to invest by the private investors and the government thought a big push is required to be given to the public sector enterprises.

3

Socialistic pattern of governance could be achieved only through direct participation of state in the process of industrialisation. Basically it was aimed at preventing concentration of wealth in few individuals and the prime motto of investment is to generate employment rather than investment that maximizes profit.

एनटीपीसी NTPC

बी एच ई एल BHEL

इंडियनऑयल IndianOil

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एनटीपीसी
NTPC

BSNL
Connecting India

भारतीय स्टेट बैंक
State Bank of India
हर भारतीय का बैंक
THE BANKER TO EVERY INDIAN

बी एच ई एल
BHEL

इंडियनऑयल
IndianOil

ECONOMY

INDUSTRIAL POLICY RESOLUTION OF 1956

THIS IS THE BASIS FOR SECOND FIVE YEAR PLAN

1

CATEGORY - 1

This comprises industries which would exclusively owned by the state.

BSNL

Connecting India

(In those days, it was DoT)

दूरदर्शन

भारतीय जीवन बीमा निगम
LIFE INSURANCE CORPORATION OF INDIA

2

CATEGORY - 2

This consists of industries in which private sector could supplement the efforts of the public sector.

सेल SAIL

TATA STEEL

3

CATEGORY - 3

This consists of remaining industries which were left to the private sector.

However, strict industrial licensing policy which was popularly known as "Permit License Raj" prevailed.

TATA MOTORS

ASHOK LEYLAND

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PERMIT LICENSE RAJ

सत्यमेव जयते

1. It was kept strictly under state control through system of licenses.

2. No new industry was allowed to operate unless a license was obtained from the government.

3. Even the existing industry had to obtain a license for expanding output or for diversifying production.

4. Private entrepreneurs were expected to establish industries in backward regions of the country basically to promote regional equality.

5. In backward regions of the country, several industrial sops were given such as tax benefits or free electricity for the establishment of industry.

TATA
TATA STEEL
TATA MOTORS
ASHOK LEYLAND
Reliance
Industries Limited

ECONOMY

1950 - 1990
STATE OF SMALL SCALE INDUSTRY

1. In 1955, Village and Small Scale Industries Committee also known as Karve Committee noted the possibility of using small scale industries for promoting industrial as well as rural development.
2. Small scale industry was defined with reference to maximum investment allowed on the assets of a unit.
3. It was felt that small scale industries should be promoted as they help to achieve growth with equity.

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THREE TYPICAL CHARACTERISTICS OF SSI

1 LABOUR INTENSIVE

They require more labour and hence, the problem of unemployment could be solved.

2 LESS CAPITAL INTENSIVE

They are less capital intensive, that means they require relatively smaller amount of capital to produce a commodity and better suited for a country like India.

3 LOCATIONAL FLEXIBILITY

They can be established in various remote parts of the country also and they have location flexibility.

As SSIs cannot compete with large scale units and to give protection to such units, certain goods were reserved for this sector only.

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TRADE POLICY

Exports / Imports

1. India has gone for import substitution.
2. This policy aimed at replacing or substituting imports with domestic production.
3. The policy protected domestic industries from foreign competition through tariffs and quotas.
4. The policy of protection was based on the notion that industries of developing countries are not in a position to compete with against those produced by more developed economies.
5. No serious thought was given to promote exports until mid 1980s.

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1950-1990
ADVERSE EFFECTS OF TRADE POLICY

Exports / Imports

QUALITY OF THE PRODUCT

- Excellent ☐
- Good ☐
- Average ☐
- Poor ☑

1. The inward looking trade policy made the Public Sector Enterprises monopolistic.
2. Lethargy crept into the system.
3. No serious thought to promote exports till 1980s.
4. Too much protection to domestic industries kept India out of international competition.
5. The quality of products were not up to international standards.

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1950-1990
INDUSTRIAL AND TRADE POLICIES

✓ POSITIVE ASPECTS

1. Percentage contribution of Industrial sector in GDP increased from around 13% in 1951 to nearly 25% in 1991.
2. Diversification of industrial growth took place to some extent.
3. Due to the policy of import substitution, there was noticeable growth in certain industries like electronics.
4. Protection to small scale industries opened new opportunities for investments by the small investors
5. Self employment was the main fallout of the protection given to small scale industries.
6. Due to the protection to small scale industries, growth with equity was made possible.

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1950-1990
INDUSTRIAL AND TRADE POLICIES

❌ NEGATIVE ASPECTS

1. Too much protection to public sector made public sector monopolistic as well as lethargic.

2. There was no need for the government to be in business like telecom as well as maintenance of hotels along with manufacturing of bread and this resulted in poor quality of services.

3. The classic example was monopoly in telecommunication sector and the case in point was waiting period of up to 5 years for getting telephone in 80s and 90s.

4. Prolonged protection led to deterioration in the domestic producers as they failed to upgrade or modernise their products.

5. Industrial houses misused the licence needed to start an industry as big industrialists started getting licenses not to start a firm but to prevent competitors from starting a firm.

Overall excessive protection to public sector inflicted death blow to the Indian manufacturing sector and a big opportunity was lost to become global power house.

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